

Avoid. You want to avoid measured moves with corrective phases that descend too near the first leg start. I do not have a set amount for this retrace, but I would probably steer away from chart patterns that retrace more than 80% or so of the prior upward move.

In addition, if the first leg does not follow a straight course upward or if it fails to stay within a well-defined channel, you might want to look elsewhere for a more promising situation. Sometimes when a chart pattern does not *feel* right or look right, then it is giving you a warning to stay away. Since measured moves are a common chart pattern, you can easily find another opportunity.

Focus on Failures

[Figure 47.3](#) shows the most common type of measured move up failure. The stock forms a double top that kills the second leg rise. The second leg does not near the price move of the first leg as do most well-behaved measured moves.

Why does this particular example fail? The figure shows a choppy, horizontal saw-tooth pattern leading to the first leg rise. The first leg soars above the two tops of the saw-tooth and price moves up smartly. Then price rounds over and starts correcting. The figure at this point reminds me of a mini-bump-and-run reversal. However, the bump phase does not meet the two-to-one height ratio of the lead-in phase. Still, it does give you pause about investing in this situation.

The second leg starts rising with no significant change in volume. This is a warning sign. There is a common Street axiom that says rising prices need high volume, but falling prices can decline on their own weight. This formation appears to be an example of that axiom.

Since there is little upward buying pressure to push price higher, momentum fades out just below the prior top and then price tumbles. The resulting decline sees price fall below the start of the first leg.